

Leena AI

OFFBOARDING GUIDELINES

Offboarding Philosophy:

To ensure smooth separation of employees from the organization along with timely & hassle-free Full and final settlement (For on-roll employees of Leena).

Exit Reasons:

An Employee is separated from his/her services with the Company due to the following:

- Resignation
- Termination
- Death
- Superannuation

RESIGNATION:

1. Any employee intending to resign from their services must first have a discussion with their Reporting Manager. Following this discussion, the employee should formally submit their **Resignation Request via email**, marking the **Reporting Manager, Head of Department (HOD) and cc'ing hrteam@leena.ai** in the communication.
2. The notice period is 60 days for confirmed employees and 30 days for employees on probation.
3. **For confirmed employees:** 60 days is the mandatory notice period that needs to be served. The final notice period for every employee is decided by his/her reporting manager based on the business requirements. However, if needed notice period can be extended after both the employee and their manager find it beneficial and agree upon, salary would be paid till the last working day only. Management has the sole discretion to decide early relieving than 60 days, which could be 10 days, 20 days, 15 days, 45 even 55 days and the employee will be paid till the last working day only.
4. **For employees on probation:** 15 or 30 days is the mandatory notice period that needs to be served. The final notice period for every employee is decided by his/her reporting manager based on the business requirements.

5. **For PIP case:** In these cases, if the employee is not able to perform as per the expectation the exit date will be on the same day when PIP is completed. However, it can be extended as per the business requirement.
6. Any shortfall in the notice period served will be recovered from the employee's full & final settlement.
7. **Resignation During Appraisal Discussion:** In the event an employee submits a resignation during the appraisal discussion, the appraisal discussion/ outcome shall be deemed null and void and the same shall be closed with immediate effect.
8. **Resignation After Appraisal Discussion , Before Salary Disbursement:** If an employee resigns after the appraisal discussion has been completed/ communicated to the respective employee and the said appraisal doesn't gets reflected by way of salary revision in terms of disbursement, the appraisal outcome as completed/ communicated shall be treated as null and void. This applies irrespective of the employee's performance rating or eligibility under the appraisal cycle

Note - Leena AI reserves the right to release the employee early during the notice period, at its sole discretion. In such cases, the company will provide written notice to the employee specifying the new last working day and any revised terms and conditions of employment termination. It is important to note that in the event of early release by the company, the company has no obligation to pay for the remaining days of the notice period.

Things to keep in mind during NP

FnF Process during the notice period:

1. The employee's salary on notice shall be put on hold for provisioning for any recoveries from the employee, for processing the full and final settlement. Generally, the last month's salary is held back for the same. For instance, if your date of relieving is before or on the 15th of the month, your previous month's salary will be on hold and paid along with the FnF settlement. Whereas, if your date of relieving is on or after the 16th of the month, your previous month's salary will be paid with the regular salary cycle, and the current month will be put on hold and settled with the FnF.
2. **Eligibility for Quarterly Variable Payout:** For anyone to be eligible for payout of the variable for any given quarter the individual must have completed a minimum of 45 days in the system in the given quarter, which means their date of exit should be on or after 15th Feb to be eligible for Q1 (Jan-Mar) variable payout. *Note: If you are eligible for the Quarterly variable payout then the FNF payout will be cleared between 60-90 days from the LWD.*

3. **Retention Bonus:** Please note that a retention bonus is to be paid if you have completed one year in the system, from the date of issuance. If the exit (Voluntary or Involuntary) happens before the completion of one year the retention bonus will not be applicable.
4. **Severance payout:** The severance payout is the sole discretion of the management which would be communicated at the time of exit in special cases, if applicable.
5. **ESOPs:** The next steps for ESOPs will be shared by the HR Department as applicable at the time of exit.
6. **FnF Payout:** The FnF payout generally takes 45-50 days from the last day of working and it shall constitute salary on hold, Bonus and incentives, and recoveries against any joining bonus, advance salary, unserved notice period, and damage or loss of any assets is adjusted, as would be applicable. Taxation would be applicable as per the proof submitted.
7. If an employee departs with a deficit in their Earned Leave balance, the value corresponding to the negative leave will be adjusted against the final settlement. This adjustment ensures the final payout is accurately calculated, reflecting the excess leave taken beyond the accrual.

Incentive Eligibility:

As per our established policies, eligibility for incentives is contingent upon achieving defined performance targets and complying with company standards. Please note that this framework for incentive qualification is subject to change at management's discretion, reflecting our commitment to adapt and evolve our policies as necessary.

1. Accrued and pending incentive payouts are designated solely for employees who are actively employed by our organization through to the date of incentive closure. This process stipulates that employees opting to depart from the company before this date will be ineligible to claim any accumulated incentives, regardless of any specified closure date.
2. Incentives for Deal Closure are tied to the closure of deals and will be applicable only for deals successfully closed during the employee's tenure with the organization. If an employee decides to leave the company before the deal closure is finalized, they will not

be eligible for incentives related to that specific deal, even if it is completed after their departure.

Professional Conduct During Notice Period

→ Timely Communication

- Adherence to Key Responsibility Areas (KRAs): Employees must ensure all KRAs and performance metrics are met until the last working day. This includes completing all tasks and projects as per the defined expectations.
- Professional Availability: Employees must maintain availability during business hours and fulfill all professional commitments. This ensures no disruption in ongoing work and smooth operations.
- Advance Communication of Non-Availability: Employees are required to notify their team and management in advance about any planned absences or unavailability to allow for proper planning and adjustment of responsibilities.
- Punctuality in Meetings: Employees must attend all scheduled meetings on time and actively participate. This is critical for maintaining team coordination and productivity.
- Comprehensive Knowledge Transfer (KT): Employees must complete all necessary KT sessions, ensuring a smooth transition of responsibilities to their successors. Detailed documentation and clear handovers are essential.

→ Professional Conduct

- Prohibition of Negative Commentary: Employees must refrain from making any negative or defamatory comments about the company, colleagues, or management. Maintaining a positive and respectful tone is essential for a professional work environment.
- Maintenance of Respectful Behavior: Employees are expected to maintain a respectful and professional demeanor in all interactions until their last working day. This includes interactions with peers, subordinates, and management.

→ Consequences of Non-Compliance

- **Immediate Termination:** Any failure to meet the above-mentioned requirements will result in immediate termination of employment. This measure ensures adherence to professional standards.
- **Withholding of Clearance and Final Settlement (FnF):** Non-compliance will result in the withholding of the full and final settlement, clearance, and other financial settlements. This includes any pending dues and benefits.

- **Forfeiture of Employee Stock Ownership Plans (ESOPs):** Any due ESOPs will be forfeited in case of non-compliance. This acts as a deterrent against unprofessional conduct.
 - **No Issuance of Relieving Documentation:** Relieving letters and other official documentation will not be provided to employees who fail to comply with the offboarding guidelines. This can affect their future employment opportunities.
 - **Negative Impact on Background Verification:** Non-compliance will negatively impact background verification processes, potentially affecting future employment prospects. This serves as a significant consequence for failing to adhere to the set guidelines.
- **Leaves During Notice Period:** Leaves during the notice period should not be taken. However, we understand that unforeseen emergencies can occur, and under such exceptional circumstances, employees may be granted leave which may result in an extension of the notice period to ensure a seamless transition of responsibilities.

TERMINATION:

Termination of services of an employee is made on the grounds of -

1. **Unauthorized Absenteeism:** In case of termination due to **absconding from services** a copy of the termination letter duly signed by the HR Head is mailed to the employee's email and a hard copy is dispatched to the employee's home address.
2. **Disciplinary Action(s)** like a violation of the code of conduct of the company, discrepancy found during background verification, performance issues, etc. In case of termination **due to any disciplinary action**, the concerned employee is relieved with immediate effect. A termination letter signed by the HR Head is issued to the employee. A copy of the same duly acknowledged by the employee needs to be kept by HR for its records in the employee file record.

Full & Final Settlement:

1. In case of termination, full or in part the notice period payout is given to the employee except when termination is due to integrity issues and absconding from the services.
2. F&F is settled within 45-50 days from the date of separation of the employee from the system. All details regarding the F&F settlement along with a soft copy of the relieving letter and F&F sheet are sent to the personal email ID of the employee.

Non-Solicitation and Anti-Poaching Clause:



During the term of your employment with Leena AI and for three years following the termination of your employment, regardless of the cause or reason for termination, you agree not to directly or indirectly solicit, induce, recruit, or encourage any of the Company's employees or contractors to leave their employment, or take away such employees or contractors, or attempt to solicit, induce, recruit, encourage, or take away employees or contractors of the Company, either for yourself or for any other person or entity.

Furthermore, you agree not to engage in any activities that would disrupt the professional environment of the Company or harm the relationship between the Company and its employees or contractors. This includes refraining from any form of poaching or encouraging current employees or contractors to consider employment opportunities with competing firms or businesses.

Breach of this non-solicitation and anti-poaching clause will be considered a serious violation of the terms of your employment agreement and may lead to legal action against you to recover damages and seek injunctive relief. Furthermore, a violation of this clause will result in the cessation of all post-exit benefits, including but not limited to Full-N-Final, ESOPs, and employment references provided by the company.

DEATH:

In the unfortunate event of an employee's death while in service, the company's HR department will promptly connect with the family to offer support and assistance.

Full & Final Settlement:

1. A death claim statement accompanying a copy of the death certification is collected.
2. The company is obligated to pay the FnF to the nominee. FnF shall constitute Salary based on the number of days the employee worked during the current pay cycle, Bonus, Incentives, Death benefits under any Group Life / Medical coverage, and Gratuity (if applicable).
3. Additional help that the organization should provide with the settlement of PF and sharing the relieving letter, experience certificate, and FnF settlement document. The whole process should be closed within 7-30 days.

IMPORTANT STEPS FOR HRBP & IT

Resignation:

1. Upon receipt of a resignation request, HRBP immediately within 24 hours will get in touch with the respective manager to chalk out the potential plan to retain or plan for the employee's smooth exit.
2. After the manager has confirmed that the exit has to be processed, check for the last day of working and the plan for the handover of dependencies, and if replacement is needed request to be raised after approval by management intimate the TA team for replacement hiring coordination.
3. Send the logistics clearance form and explain the options of the buyout (only after management approval), the process of FnF settlement, details about the salary to be put on hold, clauses on variable or any other reimbursement payouts, clauses on recovery of any retention bonus or fallout in terms of the notice period if applicable.
4. In the case where any kind of waiver of notice period recovery is applicable, take the approvals from the relevant founder by email and then get the recovery statement generated from the finance team as would be applicable.
5. Share the logistics clearance form and ask the exiting employee to download the resignation acceptance email, payslips, or any other important letters that he/she might need and update the tracker for the visibility of the IT Team (ithelpdesk@leena.ai & hrteam@leena.ai and the personal id of the employee to be kept in CC).
6. Ensure a smooth transition and schedule a farewell for the person on the last day.
7. Raise a ticket to IT for account deactivation on the last day.
8. All kinds of exit documents which include the FnF settlement certificate, experience, and relieving letter are shared with the employee.

Termination:

1. Record the reasons, emails, conversations, and preceding warning letters or PIP drafts.
2. Have the final discussion and share the logistics clearance form (loop in the IT and HR team).
3. Share the letter of termination via email and Post to the permanent address.
4. Communicate with the Finance team to hold salary/ release severance / recover damages as applicable.
5. Communicate to the existing employee and communicate to the manager to convey the right message to the team, splitting the responsibilities and informing the TA Team about

the replacement hiring if applicable, and management approval needed to hire for replacement.

6. Raise a ticket to the IT team for account deactivation on the last day and close the case.

By adhering to these offboarding policy guidelines, we ensure a professional and respectful transition for all parties involved. Failure to comply with these standards will have serious repercussions as outlined above. This policy aims to uphold the integrity and operational efficiency of our organization

Revision:

This procedure may be revised at any time at the company's discretion. Employees will be notified of any changes to the procedure.

FAQ's

1. Can employees buy the notice period?

No, there's no policy related to buyout. Based on case to case basis management has the sole discretion to decide the same if needed.

2. An employee has resigned on 15th March 23 and will quit the company after the completion of a notice period of 60 days. Will he be eligible for any kind of bonus or variable?

Yes, for the pre-notice period. Employees should remain in the system for at least 45 days for variables to be paid out for a quarter.

3. Can an employee get the relieving letter on the last date of separation?

No, relieving letter is issued only after satisfactory clearance of exit formalities. The same will be available on the personal email ID of the employee within 45 days from the date of resignation. However, post approval of the last working day by the manager auto-generated email is sent to the employee on their email. The email can be considered a formal acceptance of separation from the company.

4. When will the laptop be picked up?

Within 0-7 days from the LWD.

5. Can we be relieved earlier while on notice?

Yes, management can waive your notice period in part or full on basis case-to-case basis and release you early.

6. What will happen to the PF account?

Employees can either transfer accounts or withdraw the PF amount.

Transfer of PF Account: If the employee has changed jobs and has multiple PF accounts, they can transfer their previous account to the current one. This can be done by submitting Form 13 to the current employer.

PF withdrawal: Employees are eligible to withdraw their EPF balance under the following two circumstances:

- When an individual retires
- When an individual is unemployed for more than one month, he/she can withdraw 75% of the total accumulated amount and can withdraw the rest 25% if the unemployment period stretches beyond two months.

For detailed information regarding the step kindly refer to the [EPFO](#) site.

7. Is the Joining Bonus, Advance Payment, and relocation expense subject to recovery during the Full and Final settlement process?

If an employee voluntarily or involuntarily resigns, joining bonus, the advance payment will be subject to full recovery - as per the clause mentioned in the offer letter. The recovery amount will be adjusted in the FNF settlement.

This is about clause 3 (A&B) of the Employee Agreement.

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